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IDEA

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Makalot Industrial | Asia Pacific

Structural Advantages Intact; Attractive Entry Point

MORGAN STANLEY TAIWAN LIMITED+

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WHAT'S CHANGED

Makalot Industrial (1477.TW)	From	To
Price Target	NT$305.00	**NT$280.00**

We think the market has factored in demand uncertainty created by the Middle East conflict and inflation worries. We believe Makalot's earnings up-cycle remains intact and the market still overlooks its structural positives – now is a good entry point with attractive dividend yield support.

2Q26 on track; 3Q26 expectations reset but growth intact: 2Q26 shipments are still up 5-7% YoY with flat ASP and GPM of 24%, although final results hinge on shipping schedules. We forecast 2Q26 revenue at NT$8.1bn (+5% YoY); consensus is higher but we view it as stale. For 3Q26, shipments could grow in mid-single digits YoY, despite a low base in 3Q25. Customers are conservative on end demand in view of inflation and geopolitical risks. We look for ASP to drop 3% YoY (impact from FX fluctuations for pricing quotation YoY), along with GPM of ~24% (+1.6ppt YoY thanks to low base resulting from tariff sharing). We forecast 3Q26 revenue at NT $9.7bn (+9% YoY). Here too; consensus is higher but again we view it as stale – buy-side forecasts have been lowered.

We expect 2026 earnings to be back to peak level: We forecast Makalot's 2026 shipments to grow 4% YoY, thanks to solid contributions from GU and Dick's Sporting Goods, despite softer demand from Target and GAP. Although raw material prices have gone up, Makalot's cost-plus model will pass through cost increases to customers, largely to be reflected in 4Q26. Blending this pricing trend with 2Q/3Q26 ASP trends, we expect 2026 ASP to be flat YoY. All in, we trim our 2026 revenue forecast 1%, implying 5% YoY growth. We also trim our 2026 earnings forecast 3%, reflecting slightly lower margin assumptions – we now expect GPM to reach 25.0% (+0.2ppt YoY) and OPM to reach 14.3% (+0.7ppt YoY), driving net income growth of 13% YoY. Our 2026 net income forecast of NT$4.1bn is back to the average of NT$4.05bn during 2023-2024's peak. If back-to-school season sell-through is good in the US market, we see some upside potential in orders.

We think macro uncertainties are priced in; structural positives are overlooked: Our new price target of NT$280 (down from NT$305) is derived from our revised 2026 earnings estimate with lowered target P/E multiple at 17x (was 18x), baking in softer market sentiment toward OEMs. That's below its average of 21x in the prior up-cycle (after the re-rating in 2H23) and within the 10-year historical P/E range of 9-29x – reasonable, in our view. We believe now is a good entry point with low positioning (foreign investor holdings of only 19.62% vs. the post-Covid peak of 39.21% on June 2, 2023) and 7.3% cash yield on our projected 2026 dividend.

Makalot Industrial (1477.TW, 1477 TT)

Taiwan Consumer and Industrials | Taiwan

Stock Rating	**Overweight**
Industry View	**In-Line**
Price target	NT$280.00
Up/downside to price target (%)	29
Shr price, close (Jun 24, 2026)	NT$217.00
52-Week Range	NT$344.00-203.00
Sh out, dil, curr (mn)	247
Mkt cap, curr (mn)	NT$53,533
EV, curr (mn)	NT$51,281
Avg daily trading value (mn)	NT$489

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (NT$)**	14.65	16.50	18.80	20.45
Prior EPS (NT$)**	-	17.00	18.40	20.00
Revenue, net (NT$ mn)	34,428	36,148	39,028	41,643
EBITDA (NT$ mn)	5,372	5,915	6,633	7,202
ModelWare net inc (NT $ mn)	3,614	4,071	4,637	5,045
P/E	19.7	13.1	11.5	10.6
P/BV	5.1	4.4	4.1	3.9
RNOA (%)	33.0	36.8	41.9	45.1
ROE (%)	24.6	28.9	37.8	38.7
EV/EBITDA	12.8	9.0	7.9	7.2
Div yld (%)	5.6	7.0	7.3	8.2
FCF yld ratio (%)	4.3	5.2	8.6	9.3
Leverage (EOP) (%)	(11.1)	0.3	(4.6)	(8.7)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
e = Morgan Stanley Research estimates

Preview to earnings

Focus KPI	Focus KPI Surprise	Likely impact to consensus EPS*
Makalot Industrial 1477.TW		
2Q26 revenue and margins	– In-line	– Largely unchanged

*Likely impact to consensus EPS is for the next 12 months
Source: Company data, Morgan Stanley Research

Makalot: Earnings Estimate Revision Summary

We lower our earnings estimate 3% for 2026 but lift 2027 and 2028 estimates 2% each: We lower our gross profit margin assumption 0.1ppt for 2026, mainly to reflect uncertain macro conditions, but lift our 2027 and 2028 assumptions 0.3ppt each in view of intact longer term outlook.

Exhibit 1: Makalot: Earnings Estimate Revision Summary

P/L Revision	2026E		2027E		2028E		Diff%		
(NT$ mn)	Old	New	Old	New	Old	New	2026E	2027E	2028E
Net sales	**36,379**	**36,148**	**38,895**	**39,028**	**41,680**	**41,643**	**-1%**	**0%**	**0%**
Gross profit	9,129	9,051	9,832	9,970	10,619	10,725	-1%	1%	1%
Operating profit	5,260	5,183	5,751	5,899	6,283	6,418	-1%	3%	2%
Pretax profit	5,336	5,173	5,811	5,932	6,323	6,462	-3%	2%	2%
Net profit	4,194	4,071	4,538	4,637	4,933	5,045	-3%	2%	2%
EPS (NT$)	**17.00**	**16.50**	**18.40**	**18.80**	**20.00**	**20.45**	**-3%**	**2%**	**2%**
Key ratios (%)									
Gross margin	25.1%	25.0%	25.3%	25.5%	25.5%	25.8%	-0.1 ppt	0.3 ppt	0.3 ppt
Operating margin	14.5%	14.3%	14.8%	15.1%	15.1%	15.4%	-0.1 ppt	0.3 ppt	0.3 ppt
Pretax margin	14.7%	14.3%	14.9%	15.2%	15.2%	15.5%	-0.4 ppt	0.3 ppt	0.3 ppt
Net profit margin	11.5%	11.3%	11.7%	11.9%	11.8%	12.1%	-0.3 ppt	0.2 ppt	0.3 ppt

Source: Morgan Stanley Research (E) estimates

Our base case value, which is our price target, is lowered to NT$280 from NT$305 with a new target P/E of 17x, down from 18x given unfavorable macro conditions for consumer companies. We continue tyo apply this multiple to our 2026 EPS estimate, whcih is slightly higher.

Our bull and bear case values decrease at a magnitude similar to the revision in our base case value – to NT$440 and NT$142, respectively.

Makalot: Consolidated Financials

Exhibit 2: Makalot: Consolidated Financials

Income Statements

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Net Sales	**32,459**	**35,524**	**34,428**	**36,148**	**39,028**	**41,643**
COGS	(24,092)	(26,532)	(25,864)	(27,097)	(29,059)	(30,918)
Gross Profit	**8,366**	**8,991**	**8,564**	**9,051**	**9,970**	**10,725**
Operating Exp.	(3,527)	(3,691)	(3,883)	(3,868)	(4,071)	(4,307)
Oper.Exp.-Promotion & RD	(1,849)	(1,945)	(2,023)	(2,032)	(2,134)	(2,252)
Operating Exp.-ADM	(1,678)	(1,746)	(1,860)	(1,836)	(1,937)	(2,056)
Operatin Expense-R&D	-	-	-	-	-	-
Operating income	**4,840**	**5,300**	**4,681**	**5,183**	**5,899**	**6,418**
Total non-operating Inc.	188	(57)	(89)	(10)	33	44
Net Interest Inc.	(189)	(272)	(242)	(260)	(260)	(260)
Net Investment Inc.	96	53	64	50	-	-
Exchange Gain (Loss)	41	114	(9)	27	-	-
Others Income (Loss)	228	37	79	170	293	304
Pre-tax Income	**5,027**	**5,243**	**4,592**	**5,173**	**5,932**	**6,462**
Income Tax	(992)	(1,071)	(922)	(1,081)	(1,265)	(1,375)
Net Income	4,035	4,172	3,669	4,092	4,667	5,087
Extraordinary gain (losses), minority interst	**(44)**	**(57)**	**(55)**	**(21)**	**(30)**	**(42)**
Net profit after extraordinary items	**3,991**	**4,115**	**3,614**	**4,071**	**4,637**	**5,045**
Adj.wtd.avg.shrs (m)	242	247	247	247	247	247
EPS (NT$)	**16.50**	**16.68**	**14.65**	**16.50**	**18.80**	**20.45**
MW EPS (NT$)	16.50	16.68	14.65	16.50	18.80	20.45

Cash Flow Statements

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cashflow from Operations	**5,785**	**4,731**	**4,057**	**3,631**	**5,234**	**5,708**
Net profits	3,991	4,115	3,614	4,071	4,637	5,045
Depreciation & Amortization	548	565	608	679	735	784
Inv. Gain/Loss (Equity)	(87)	(41)	(54)	(6)	-	-
Disposal of Investment	(50)	37	23	6	-	-
Working Capital Change	391	(64)	485	(712)	(337)	(322)
Dec(Inc)-A/R	(334)	706	(71)	(170)	(81)	(79)
Dec(Inc)-Inventory	398	(859)	668	(951)	(449)	(425)
Inc(Dec)-A/P	328	89	(112)	409	193	183
Other adjustments	992	118	(619)	(407)	200	200
Cashflow from Investing	**(1,478)**	**1,177**	**(150)**	**(1,459)**	**(357)**	**(407)**
(Purchases) Sale of fixed asset / (capex)	(476)	(799)	(708)	(707)	(357)	(407)
(Purchases) Sale of LT investment	-	-	-	-	-	-
(Purchases) Sale of ST investment	28	28	20	1	-	-
Other adjustments	(1,030)	1,949	537	(752)	-	-
Cashflow from financing	**(4,037)**	**(6,169)**	**(4,084)**	**(3,781)**	**(3,891)**	**(4,410)**
Increase in L-T debt	(115)	-	-	-	-	-
Increase in S-T debt	(199)	(332)	79	8	-	-
Cash Dividend Paid	(3,530)	(5,700)	(3,972)	(3,755)	(3,891)	(4,410)
Other adjustments	-	-	-	-	-	-
Exchange rate adjustment	(17)	146	(97)	42	-	-
Net change in cash	**254**	**(115)**	**(276)**	**(1,567)**	**986**	**891**

Balance Sheets

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Cash	3,014	2,900	2,624	1,058	1,694	2,285
Mkt Securities	212	203	206	203	203	203
AR/NR (reported)	1,527	829	899	1,071	1,152	1,232
Inventories	4,843	5,702	5,034	5,986	6,435	6,859
Others	8,822	6,459	7,141	8,381	8,381	8,381
Current Assets	**18,419**	**16,093**	**15,905**	**16,699**	**17,865**	**18,960**
Long-term Investments	364	315	346	324	324	324
Fixed Assets	5,264	5,815	5,978	6,081	6,053	5,977
Other Assets	829	974	1,676	1,604	1,604	1,604
Total Assets	**24,876**	**23,198**	**23,904**	**24,707**	**25,846**	**26,864**
S-t Borrowings	1,553	1,221	1,300	1,309	1,309	1,309
AP/NP	2,187	2,276	2,164	2,573	2,766	2,949
Other ST liabilities	4,857	4,522	5,100	7,289	7,489	7,689
Total Current Liabilities	8,597	8,019	8,565	11,171	11,564	11,946
L-t Debt	0	0	0	0	0	0
Other Liabilities	352	411	1,166	1,159	1,159	1,159
Total Liabilities	**8,949**	**8,429**	**9,730**	**12,330**	**12,723**	**13,105**
Common Shares	2,419	2,467	2,467	2,467	2,467	2,467
Other Shareholders' Equity	13,508	12,302	11,707	9,911	10,656	11,292
Total Equity	**15,927**	**14,769**	**14,174**	**12,377**	**13,123**	**13,759**
Total Liab./Shrhldr's Equity	**24,876**	**23,198**	**23,904**	**24,707**	**25,846**	**26,864**

Financial Ratios

NT$ mn	2023	2024	2025	2026E	2027E	2028E
Growth%						
Turnover	1.2	9.4	-3.1	5.0	8.0	6.7
Gross Profit	1.3	7.5	-4.8	5.7	10.2	7.6
Operating Profit	9.2	9.5	-11.7	10.7	13.8	8.8
Net Profit	13.6	3.1	-12.2	12.7	13.9	8.8
Margins (%)						
EBITDA	17.8	17.1	15.8	16.9	17.7	18.0
EBIT	16.1	15.5	14.0	15.0	15.9	16.1
Gross Profit	25.8	25.3	24.9	25.0	25.5	25.8
Operating Profit	14.9	14.9	13.6	14.3	15.1	15.4
Net Profit	12.3	11.6	10.5	11.3	11.9	12.1
Return (%)						
ROA	16.0	17.7	15.1	16.5	17.9	18.8
ROE	25.1	27.9	25.5	32.9	35.3	36.7
Gearing (%)						
Net Debt/Equity	-9.2	-11.4	-9.3	2.0	-2.9	-7.1
Total Liabilities/Total Equity	56.2	57.1	68.6	99.6	96.9	95.3
Payout Ratio (%)	99.4	102.5	95.5	95.6	95.1	95.0
A/R Turnover (days)	15	12	9	10	10	10
A/P Turnover (days)	31	31	31	32	34	34
Inventory Turnover (days)	76	73	76	74	78	78
Cash conversion (days)	61	54	54	52	55	55

Source: Company data, Morgan Stanley Research (E) estimates

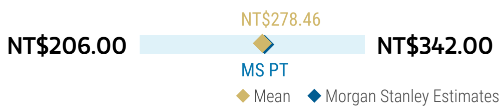
Risk Reward – Makalot Industrial (1477.TW)

Structural Advantages Intact; Attractive Entry Point

PRICE TARGET NT$280.00

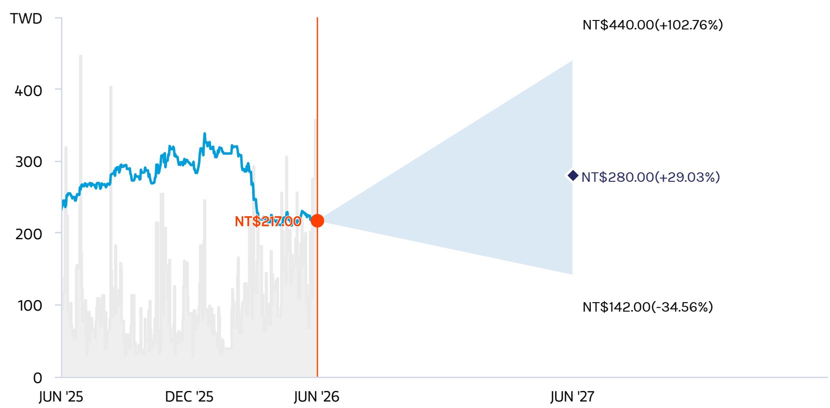
Base case value, derived by applying a multiple of 17x to our 2026 EPS estimate. Our target multiple is below its average P/E ratio in the prior up-cycle of 21x (after re-rating in 2H23), and is within the stock's 10-year historical 9-29x P/E range. We view this as reasonable, with 2026e earnings growth of 13% seen outperforming apparel and footwear peers with flat to single-digit growth.

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

RISK REWARD CHART



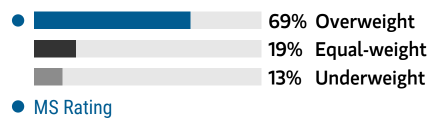
Key: Historical Stock Performance, Current Stock Price, Price Target

Source: Refinitiv, Morgan Stanley Research

OVERWEIGHT THESIS

- We expect structural edges in production (fast reaction, multiple locations) to help Makalot ride a potential restocking cycle in 2026...
- ...driving more apparent revenue growth, margin recovery, and an earnings up-cycle.
- We think the market is overlooking Makalot's sustained long-term market share gains.
- Given our conviction that gross margin will recover in 2026, on top of enlarged revenue scale, we expect operating margin to expand this year with operating leverage.
- We see attractive valuation amid low market expectations: We apply a target P/E of 17x for 2026e.
- Good cash dividend yield forms downside support.

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

Secular Growth: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE NT$440.00

20x 2026e EPS

Strong end market consumption across each market along with end customers requesting rush orders: Robust order intake thanks to strong demand recovery for apparel after inventory digestion, together with larger order wins from small suppliers, leading to a two-year sales CAGR of >17% in 2026-28e and operating profit margin of 18.3% in 2026e.

BASE CASE NT$280.00

17x 2026e EPS

Solid customer base growth and strong reorders driven by faster restocking orders; new customer gains: Stable order intake thanks to restocking orders and sustained orders from Japanese customers. Sales CAGR of 7% in 2026-28e and operating profit margin of 14.3% in 2026e.

BEAR CASE NT$142.00

11x 2026e EPS

Lingering impact from macro consumption resulting in ongoing sluggish demand, leading to customer losses; margin deterioration from efficiency losses: Larger order cuts by major customers, and some small customers exit the market as a result of macro uncertainties. Two-year sales CAGR of 2% in 2026-28e and operating profit margin of 5.8% in 2026e.

Risk Reward – Makalot Industrial (1477.TW)

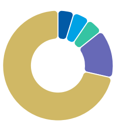
KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
Capacity Growth (%)	(1.7)	1.8	7.0	6.0
ASP Growth (%)	1.2	(0.3)	1.0	0.8
Opex Ratio (%)	11.3	10.7	10.4	10.3

INVESTMENT DRIVERS

- Capacity expansion in Southeast Asia
- New customers from non-US regions
- ASP and margin expansion from migrating to more complex garments
- Sustained demand for casual wear
- Order transfers from a major channel customer
- Supply-side consolidation

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

RISKS TO PT/RATING

RISKS TO UPSIDE

- New non-US customer wins
- Faster-than-expected inventory digestion
- ASP and margin expansion via more complex garments
- Better US GDP growth
- Faster order reallocation owing to trade tension

RISKS TO DOWNSIDE

- Deterioration in the macro environment
- Drastic appreciation of TWD
- Pricing competition initiated from competitors
- Tariff increases on apparel exports from Vietnam or Cambodia

OWNERSHIP POSITIONING

Inst. Owners, % Active 68.2%

Source: Refinitiv, Morgan Stanley Research

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e

	Low	Morgan Stanley Estimates	Mean	High
Sales / Revenue (NT$, mn)	34,630	36,148	35,981	37,175
EBITDA (NT$, mn)	5,435	5,915	5,899	6,632
Net income (NT$, mn)	3,727	4,071	3,970	4,261
EPS (NT$)	15.05	16.50	16.02	17.27

◆ Mean ◆ Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

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Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)

Stock Rating History: 6/1/21 : 0/I; 7/12/22 : U/I; 9/5/22 : 0/I; 1/26/24 : E/I; 11/7/25 : 0/I

Price Target History: 5/25/21 : 318.63; 1/15/22 : 303.92; 4/5/22 : 274.51; 5/5/22 : 235.29; 6/1/22 : 230.39; 7/12/22 : 132.35; 8/30/22 : 137.25; 9/5/22 : 269.61; 3/15/23 : 245.1; 5/3/23 : 250; 7/13/23 : 343.14; 9/4/23 : 392.16; 11/1/23 : 441.18; 1/26/24 : 367.65; 5/4/24 : 382.35; 7/2/24 : 397.06; 9/13/24 : 397; 11/1/24 : 355; 11/18/24 : 340; 1/17/25 : 360; 5/5/25 : 310; 6/23/25 : 250; 11/7/25 : 345; 11/12/25 : 350; 3/13/26 : 340; 5/4/26 : 305

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

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INDUSTRY COVERAGE: Taiwan Consumer and Industrials

COMPANY (TICKER)	RATING (AS OF)	PRICE* (06/24/2026)
Terence Cheng		
China Airlines Ltd (2610.TW)	E (09/16/2025)	NT$23.25
Eclat Textile (1476.TW)	O (12/04/2014)	NT$319.50
Eva Airways Corp (2618.TW)	O (09/16/2025)	NT$44.00
Feng Tay (9910.TW)	U (02/10/2026)	NT$71.80
Fulgent Sun International Holding Co Ltd (9802.TW)	E (02/10/2026)	NT$74.90
Giant Manufacturing (9921.TW)	O (02/02/2026)	NT$73.60
Lai Yih Footwear Co Ltd (6890.TW)	E (11/24/2025)	NT$240.50
Makalot Industrial (1477.TW)	O (11/07/2025)	NT$217.00
Merida Industry (9914.TW)	O (02/02/2026)	NT$71.50
Momo Com Inc (8454.TW)	U (01/15/2026)	NT$348.00
Nien Made Enterprise (8464.TW)	O (04/10/2026)	NT$348.50
Poya International Co Ltd (5904.TWO)	E (01/15/2026)	NT$658.00
President Chain Store (2912.TW)	U (01/15/2026)	NT$225.00
Uni-President Enterprises Corp. (1216.TW)	U (01/15/2026)	NT$75.10

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